



AUDIT
OFFICE



REPUBLIC
OF CYPRUS

AUDIT OF GRANTING CYPRIOT CITIZENSHIP TO COMPANY EXECUTIVES WITHIN THE FRAMEWORK OF THE CYPRUS INVESTMENT PROGRAMME

Executive Summary



AUDIT OFFICE OF THE REPUBLIC OF CYPRUS
SPECIAL REPORT no. ΥΠΕΣ/04/2020

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AUDITED ENTITIES

[Ministry of Interior]

Executive Summary

Within the framework of the measures taken to encourage direct foreign investments and attract natural persons of high-income level, to establish themselves and their business in Cyprus, in 2013, the Council of Ministers (CM) radically reviewed the Programme that has been effective since 2007 and devised the “Cyprus Investment Programme” (CIP) for granting of Cypriot citizenship, through naturalization by exception to non-Cypriot investors/businesspersons.

On 24.9.2020 our Office issued the Special Report no. ΥΠΕΣ/02/2020 regarding CIP. There we had recorded as finding that, out of 748 applications that were submitted after 21.5.2018 and have been approved by the Council of Ministers, there is a clear distinction for 23 applications for which there are “Instructions by the Minister of Interior (MOI) for speeding up the process”.

During the meeting of the Committee on Development Plans and Public Expenditure Control (“the Control Committee”) on 8.10.2020, the Permanent Secretary of the Ministry of the Interior mentioned that 18 out of the 23 cases were related to the casino resort and that the Minister of the Interior gave instructions for speeding up the examination of these applications for purposes of assisting the investments that would be made in Cyprus.

After this statement, we decided, within the framework of our constitutional responsibilities, to carry out an audit on the naturalization procedure of these 18 persons. Due to the serious findings during this audit, we decided to extend the audit to other cases of persons naturalized as senior executive officers of companies. Within this framework, we managed to find 64 persons that have been naturalized and that are presented as related to the specific company (hereinafter company A Ltd).

The purpose of the audit, the impediments found, the data used and the basis for drawing conclusions are explained in paragraph 3.2.

A. Provisions of CIP regarding the granting of the Cypriot citizenship to company executives

The possibility of granting citizenship to company executives was first introduced to the CIP by the Decision of the Council of Ministers dated 19.3.2014. This provided that a company senior executive officer fulfilling one of the economic criteria can apply for acquiring the Cypriot citizenship, through naturalization by exception. The executive must have such remuneration in the said company creating tax revenues for the Republic of at least €100.000 for a three-year period and provided that this taxation has already been paid or prepaid. For proving this, their employment contract was required as well as the Receipt by the Tax Department. The applicant should also be owner of permanent residence at the Republic of Cyprus, with a market value of at least €500.000 plus VAT. The Decision of the Council of Ministers dated 13.9.2016 did not differentiate these criteria.

NATURALIZATION REQUIREMENTS FOR COMPANY EXECUTIVES



Permanent Residence in Cyprus
€500.000+ VAT



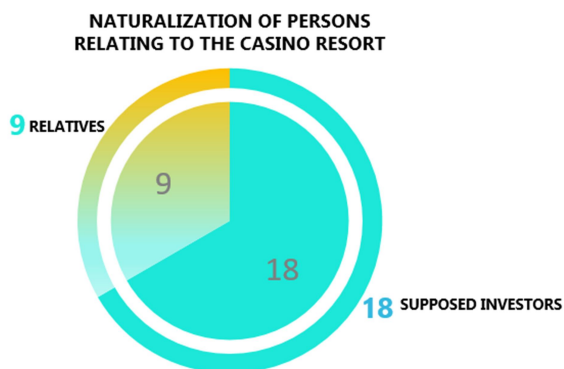
Income that creates tax revenue of
€100.000 in 3 years

B. Naturalization of 18 persons (plus 9 relatives) related to the casino resort

Both the Chairman of the Cyprus Gaming and Casino Supervision Commission (CGCSC) and the Chairman of the Coordinating Committee that had the responsibility of managing the competitive licensing procedure, the choice of the suitable person and the observation of the compliance of the Administrator with the procedure of erection and development of casino resort assured us that, neither during the competitive procedure, or the procedure followed until the licensing, nor after signing the Licensing Agreement on 26.6.2017, there was any term or condition set on behalf of the Administrator of granting of the Cypriot citizenship to any person, in order to fulfill his contractual obligations for completion of the developmental projects before the Opening Date specified in the Licensing Agreement.

From all the data we managed to collect we have found that:

a. On 25.7.2019 the Council of Ministers decided to grant the Cypriot citizenship to 27 persons (18 supposed investors and 9 relatives of them) invoking the provision of subparagraph (2) of article 111A of the Civil Registry Law and the Decision of the Council of Ministers dated 13.9.2016 by which the criteria for granting of the citizenship had been set.

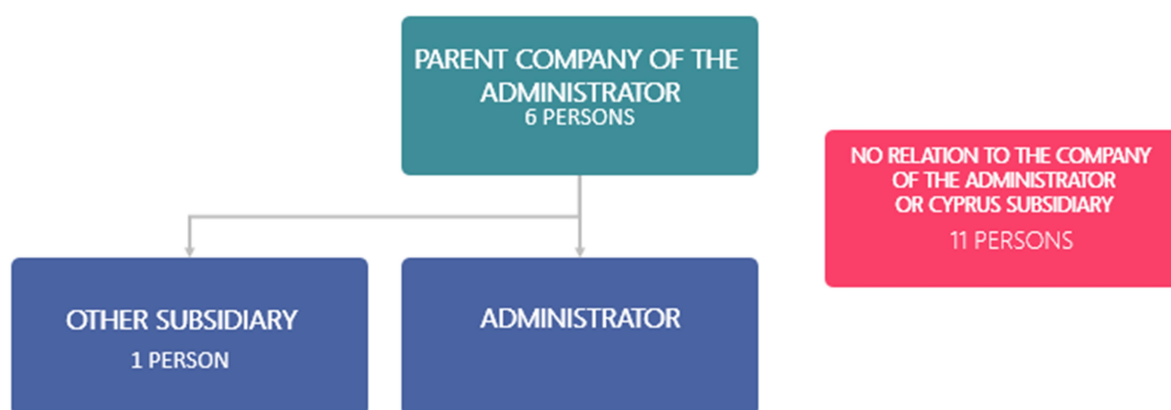


b. The 18 persons naturalized should be, either senior executives in the company of the Administrator, or shareholders of the company that has invested in Cyprus. Based on the data we have found:

- ◆ Seven out of 18 persons are directors of a company registered in Cyprus, six of them are in a company that is parent company of the company of the Administrator and one of them is in another subsidiary of the parent company, while the other 11 were not found to be

related to the company of the Administrator or its parent company that are registered in Cyprus. Possibly, these 11 persons are related to the listed company abroad that indirectly holds 75% of the share capital of the Administrator, or other companies of the Group, and they do not have any other professional or business activity in Cyprus.

18 NATURALISED PERSONS



- ◆ Out of these seven persons, six seem not to be registered in the Register of the Tax Commissioner and consequently they did not pay/prepay income tax to the Republic. One is registered in the Register of the Tax Commissioner (for direct taxation) and it seems that it is possible that he will pay tax income of about €100.000 in a three-year period. However, this should have been prepaid.
- ◆ Those seven persons do not seem to be owners of permanent residence of any value in the Republic.

c. Consequently, it can be concluded that possibly these 18 persons were naturalized after a Decision of the Council of Ministers, while it was known, either to the Council of Ministers, or only to the Ministries of Interior and/or Finance, that they did not fulfill the applicable criteria. In substance, they were naturalized by grace, out of the terms and conditions of the abovementioned Decision of the Council of Ministers, and even by speeding up. This probably means loss of tax revenues of €1,7 million from the non-payment of the amount of €100.000 as income tax from each naturalized person, and an amount of €1,7 as VAT on €500.000 value of each residence that should have been acquired, plus the indirect benefits to the economy and the government revenues from the construction and/or sale of the residences.

Naturalization of 18 by grace, outside of CM terms and by speeding up



d. On 27.10.2020 the Minister of Finance, in his statements to the state radio mentioned that the naturalizations “was a totally legal, conscious and justified decision by the Council of Ministers who decided based on the public interest and on the provisions arising from the law itself”.

By explaining what the public interest is, the Minister said that it was given for an investment, which is of €600 million that, as he said, already employs 850 persons and also 800 persons in the construction sector. Until the end, it will employ 4.000 more persons and it will have 2.800 permanent working positions. “This project will bring 300.000 tourists. Isn’t the contribution to the Cypriot economy for the public interest?” he wondered and characterized as grotesque the fact that there are references about lost government revenues.

However, the Licensing Agreement for the casino resort has already been signed since 26.6.2017 and since then the Administrator has contractual obligation to effectuate the investment without any additional exchanges being justified, out of the law and out of the Licensing Agreement.

Besides, it is well established in the case-law of the Supreme Court that the public interest is not a criterion over and above the statute law, but it is expressed from this, in a way and by the types respective to the hierarchy of the statute law. In other words, the public interest cannot establish exemption from the principle of legality, but, on the contrary, public interest is only what the constitutionally specified instruments specify as public interest.

e. Although the abovementioned already substantiate the non-satisfaction of the relevant criteria, the following are noted as possibly complementary and strengthening, that however require confirmation:

- ◆ In the Proposal to the Council of Ministers dated 24.7.2019, as this was transferred to the House of Representatives on the same day, it seems that there is no reference to the casino resort. Also, in this Proposal there seems to be reference that the Ministry of Finance ensures that the applying investors fulfil the economic criteria set by the Decision of the Council of Ministers dated 13.9.2016. It also seems that the assurance given by the Ministry of Finance that the applicants fulfilled the economic criteria set by the Decision of the Council of Ministers dated 13.9.2016, if it was indeed given by the Ministry of Finance, was probably false.

- ◆ Based on the Decision of the Council of Ministers dated 13.2.2019, the applicant before his naturalization must be holder of residence/migration permit for at least a six-month period. As it seems to be recorded in the Proposal to the Council of Ministers, 17 out of 27 naturalized persons had migration permit for a period of two to five months. Consequently, for these 17 persons, the granting of naturalization was for this reason also unlawful.
- f. Based on the data we had before us, it seems that there is also an issue of deceiving the House of Representatives, which must be informed in advance for every naturalization based on subparagraph (3) of article 111A of the Civil Registry Law (L.141(I)/2002).

Findings – possible responsibilities

Based on the Act on General Principles of the Administrative Law (L.158(I)/1999), aiming a purpose profoundly foreign to the purpose of the law, as also exceeding the extreme boundaries of the distinctive power, are abuse of power. We consider as obvious that, if the facts as recorded in this Report are confirmed, then the Proposal to the Council of Ministers and the relevant Decision of the Council of Ministers dated 25.7.2019 will consist abuse of power. Consequently, taking into account that:

- ◆ The granting of the Cypriot citizenship to 27 naturalized persons seems to be gross violation of the Civil Registry Law and the relevant Decisions of the Council of Ministers.
- ◆ as it seems, there was no information to the official management agents of the Licensing Agreement of the casino resort (CGCSC and Coordinating Committee) for an issue that supposedly regarded the promotion of the specific investment,
- ◆ the Licensing Agreement was concluded in June 2017 and on the basis of this the administrating company undertook obligations for compliance with specific timeframes for completion of the investment,
- ◆ the granting of the Cypriot citizenship was made two years after the conclusion of the Licensing Agreement and consequently it cannot be considered that it was in any way a motivation for the company to undertake the investment (that anyway such motivation should have been included in the documents of the competition),
- ◆ as it seems, there might have been concealment of any reference to the fact that the naturalized persons were related to the casino resort,
- ◆ as it seems, there might have been inclusion of a possibly false confirmation that the applicants supposedly satisfied the investment criteria,
- ◆ the applications were approved even though for some not even the typical criterion of holding a migration permit for a six-month period might have been satisfied,
- ◆ for the applications there was intervention by the Minister of Interior (and current Minister of Finance) in order to examine by priority in relation to other applications, and
- ◆ as the current Minister of Finance mentioned himself, this was a conscious decision,

the abovementioned were brought, with a relevant communication of the draft of this Report, before the Attorney General of the Republic, who is the only one being competent, by exercising at his discretion his constitutional responsibilities, to decide if there are reasons for investigating the possibility of commitment of any criminal offence mentioned in Part III of the Criminal Code (“Offences against the administration of lawful authority”), and/or other offences as for example the one for obtaining a certificate by false pretence (article 305 of the Criminal Code).

We are stressing that our reference and the communication of the issue to the Attorney General of the Republic neither means nor has to be regarded that we are putting forward an accusation against any person for by intent abuse of power or for committing criminal or other offences.

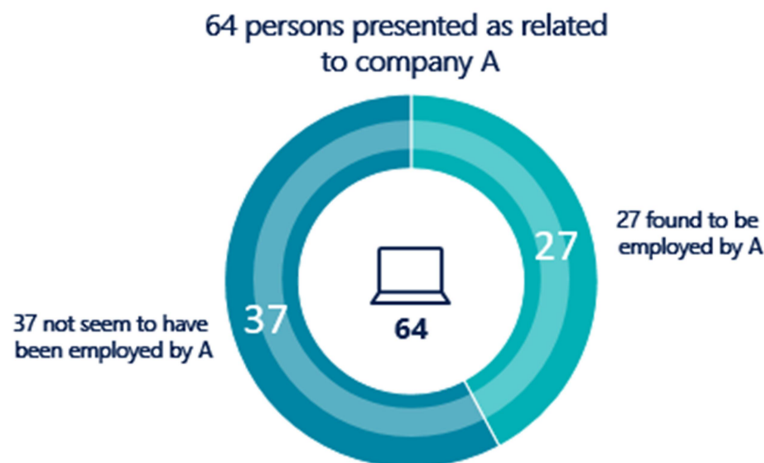
It is also our opinion that the Attorney General of the Republic should advise the Council of Ministers whether the revocation of the Decision of the Council of Ministers dated 25.7.2019 for granting of Cypriot citizenship to the concerned 18 persons is possible. Based on article 54 of the Act on General Principles of the Administrative Law (L.158(I)/1999), the revocation of illegal administrative act is also allowed after lapse of reasonable length of time, if this was issued after fraudulent or misleading act of the interested party or if the interested party was aware of the illegality of the act at the time of its issuance or for public interest reasons.

C. Naturalization of directors and employees of company A

Based on various data we managed to secure, we found 64 persons having been naturalized and presented as related to company A. The applications were submitted, examined and approved in groups.

Those 64 persons found seem that they all have been naturalized while the same Minister of Interior was minister. Also, as mentioned above, the possibility of granting of citizenship to company executives was first introduced to the CIP by the Decision of the Council of Ministers dated 19.3.2014, again while the same Minister was minister.

Out of 64 cases we found 27 persons employed in company A. The remaining 37 persons do not seem to have been employed by company A but they were naturalized as if they were related to it. These are possible company executives working abroad or they may even not be related to the company at all.

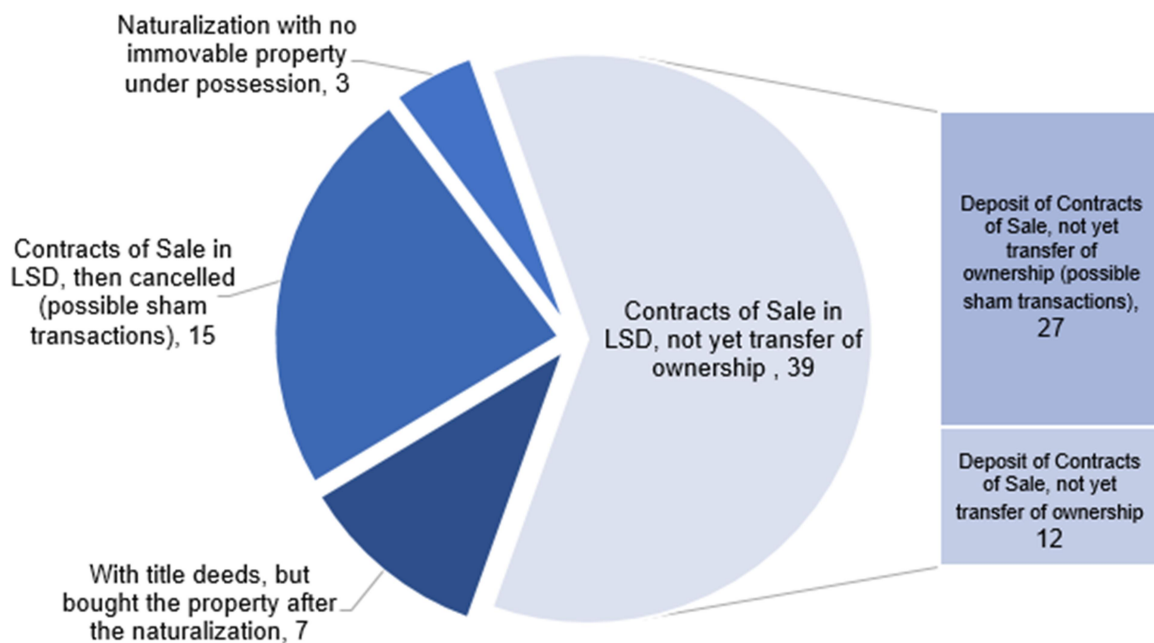


Criterion of possessing permanent residence

We have found entries in the daily press showing that some applicants stated that they lived at specific addresses/flats while the said immovable properties are until today plots or parking spaces or unfinished buildings that started being built in the past and the works stopped a long time ago. This means that the said persons, or other providers and/or lawyers on their behalf, possibly made false statement regarding their place of residence in order to acquire the Cypriot citizenship.

Additionally, as to the criterion of possessing permanent residence, we have classified our findings as follows, with each case being explained in detail below:

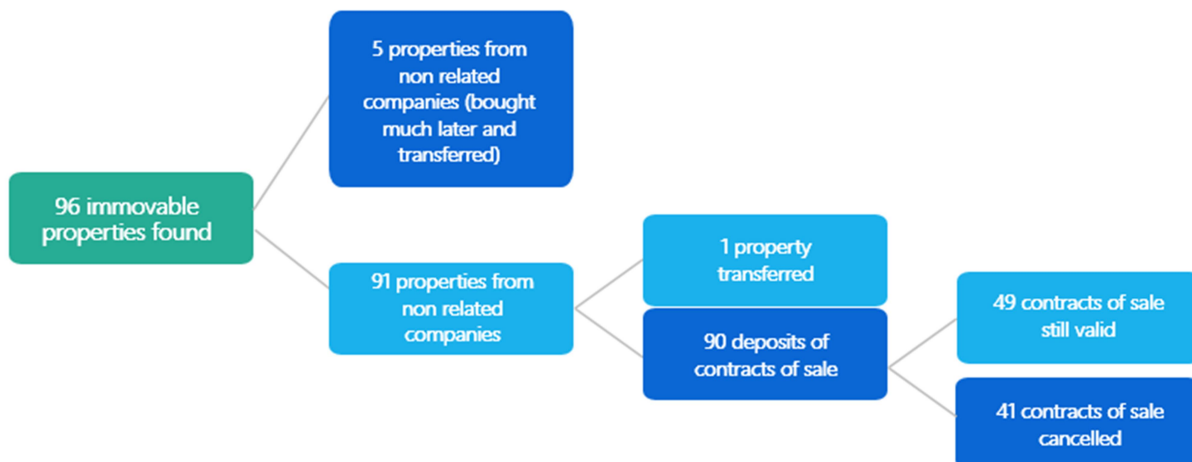
64 Persons: Criterion of possessing a permanent residence



Category		Number of persons	Classification
A1		7	Naturalized persons found to have immovable property title deed without however fulfilling the relevant criterion since they bought their properties after their naturalization
A2			Cases of naturalized persons with immovable properties for which the contracts of sale were submitted at the LSD, but their transfer is still pending until today
	A2-1	27	Cases of submitting contracts of sale that have not been transferred yet and possibly are sham transactions. We have found that where the flats are supposedly located, there is underground parking place, unfinished building that started being built in the past and the works stopped a long time ago, etc.
	A2-2	12	Other cases of submitting contracts of sale for immovable properties that have not been transferred yet
A3		15	Cases of naturalized persons with immovable properties for which the contracts of sale were submitted at the LSD, but later they were cancelled, in a way showing possible sham transactions. We have found that, in the area where the said property would supposedly be located, there is a plot and an unfinished building that started being built in the past and the works stopped a long time ago.
A4		3	Naturalization without any immovable property found

With the exemption of the purchase of five properties, out of which one was then alienated by donation, all the purchase/sale transactions seem to have been carried out between specific companies connected with each other. This strengthens the possibility for many sale transactions to be regarded as sham transactions.

In many cases, the buyer bought something that was on paper, but should pay the total, or almost the total, of the value of the immovable property by signing the contract of sale, without as it seems providing any security for the buyer of the property in cases on non-fulfilling the terms of the contract on behalf of the seller. When in fact in a case where the buyer died, the administrator of his estate, who is also secretary of company A, ignored this by acting as if the contract of sale that the deceased had in his hands, and for which he had already paid 97% of the property's value, had no value.



Income-based Criteria

Out of 64 persons, 33 were found to be registered in the Direct Taxation Register of the Tax Department and 27 of them are employees of company A. Out of them, only four seem to have fulfilled the conditions for naturalization.

37 persons were not employed by company A but they were naturalized as being related to it. Five of them, were found to have paid a lump sum of €100.000 to the Tax Department by special payment, without having tax obligation, which is impressive.

Combination of income-based criterion and criterion of possession permanent private residence

If we combine the two criteria, we end up to the fact that none of the 64 naturalized persons fulfilled both criteria, as shown on the Table below.

CATEGORISATION OF PERSONS WITH RESPECT TO INCOME CRITERIA				CATEGORISATION OF PERSONS WITH RESPECT TO POSSESSION OF RESIDENCE						
				NUMBER OF PERSONS						
				RESIDENCE VALUE AND CURRENT STATUS						
				NUMBER OF PERSONS	AT THE TIME OF APPLICATION			TODAY		USE OF 5% VAT
					≥ 500.000	< 500.000	2 APPARTMENTS ≥ 500.000	Transfer or SD active	SD Cancelled	
DIRECTORS/EMPLOYEES	A	TAX REVENUE ≥ EURO 100.000	4	4			4 ⁽¹⁾		1	
	B	TAX REVENUE ≥ EURO 100.000	7	4	2	1	6	1	1	
		NATURALIZATION GRANTED BEFORE EMPLOYMENT								
	C	TAX REVENUE ≥ EURO 100.000	3	3			3		2	
		INCOME DID NOT PRODUCE TAXABLE REVENUE OF EURO 100.000								
	D	TAX REVENUE < EURO 100.000	13 ⁽²⁾	3	2	5	5	5	2	
NOT SERVED AS EMPLOYEES	E	TAX REVENUE ≥ EURO 100.000	5	5			5		0	
	F	TAX REVENUE = 0	32	17		15	21	11	7	

Note 1: Purchase of real estate under categories A2-1(a) and A2-1(c), thus not satisfying the relevant criterion

(2) Three persons with no immovable property found

Findings – possible responsibilities

On the basis of the data recorded in this Report, it occurs that the naturalization of the 64 persons may constitute an abuse of power.

We are also noting that in 2017 information was given to our Office that, while a specific company was assigned for glasses supply (glass wall system) of the under-construction building of company A, then the specific work was assigned to another company, whose only shareholder was the then Minister of Interior. It must be noted that this building was constructed by company C between the years 2014 and 2015. On this building, which is multi-storeyed, the cladding is almost completely made of glass.

We also consider that it is important that the director general of company A, who was also the owner of companies K and M, during the essential time had interest and was director in company C. All these companies are related to the buying and selling of immovable properties.

Also, there might be other offences on behalf of the naturalized persons, or the companies mentioned, or the lawyers or other providers, as explained above.

The abovementioned were brought, through a relevant communication of the draft of this Report, before the Attorney General of the Republic who is the only one competent, by exercising at his discretion his constitutional responsibilities, to decide if there are reasons for investigating the possibility of commitment of any criminal offence mentioned in Part III of the Criminal Code (“Offences against the administration of lawful authority”), and/or other offences as for example the one for obtaining a certificate by false pretence (article 305 of the Criminal Code).

We are stressing that our reference and the communication of the issue to the Attorney General of the Republic neither means nor has to be regarded that we are putting forward an accusation against any person for by intent abuse of power or for committing criminal or other offences.

It is also our opinion that the Attorney General of the Republic should advise the Council of Ministers whether the revocation of the Decision of the Council of Ministers dated 25.7.2019 for granting of Cypriot citizenship to the concerned 64 persons is possible. Based on article 54 of the Act on General Principles of the Administrative Law (L.158(I)/1999), the revocation of illegal administrative act is also allowed after lapse of reasonable length of time, if this was issued after fraudulent or misleading act of the interested party or if the interested party was not aware of the illegality of the act at the time of its issuance or for public interest reasons. Also, the data of the case show that the conditions of subparagraph (2) of article 113 of the Civil Registry Law may exist which defines that the Council of Ministers can by Decree deprive any naturalized citizen from the status of the citizen of the Republic if it is satisfied that the registration or the naturalization certificate was acquired by deception, false representations or concealment of any essential fact.

Additional resulting tax issues

Tax issues for the natural persons naturalized, for the companies examined, as well as for the issue of the reduced VAT rate at 5% for the purchase or erection of first residence have occurred.

D. Conclusions

Based on the findings of the Report, there was a large number of naturalizations without the criteria in force being met.

In our opinion, the impression created is that some of those exercising public power have never taken into account the effective legal and regulatory framework and they essentially believed that they could act as they see fit.

Consequently, here appears the possibility of abuse of power by persons exercising public power.

The fact that this is about two different cases, with the first one being during the years 2014-2017 and the second being in 2019, shows that the weakness of the Programme remained almost unchanged until the moment of its recent abolition.

Unfortunately, it seems that the highly negative image that has been created, in Cyprus and abroad, as to the implementation of the Programme, an image that has been significantly worsened recently after the reportage of the foreign television network Al Jazeera, was the unavoidable result of a weak situation, possibly not yet free even from phenomena of corruption and other criminal offences.

Unfortunately, the non-timely taking of corrective measures on behalf of the Government has led to the sudden termination of the Programme. What remains now is the strict seeking of accountability.